



“People might perceive litigation funding as risky, but this is one of the least risky products. The business is structured in a manner that even if one gets four to five cases right in a pool of 8-10 cases, everyone makes money”

NITIN JAIN

FOUNDER & CEO, FIGHTRIGHT



“The rising number of disputes among organisations is expected to provide opportunities for the growth of the litigation funding investment market, with special interest from lenders and investor groups”

ASHISH CHHAWCHHARIA

PARTNER AND HEAD-RESTRUCTURING SERVICES, GRANT THORNTON BHARAT



“Litigation financing can be an alternative to litigation insurance to some extent... One of the key benefits of litigation financing is that it helps companies and individuals reduce the financial burden of pursuing a claim”

SUMIT AGRAWAL

FOUNDER, REGSTREET LAW ADVISORS

commercial disputes; plus, it is able to plot the dispute's expected legal journey based on its AI/ML tools.

If such bets are risky, why are investors putting in money? Experts say that litigation financing is fast emerging as an alternative investment avenue as the start-ups are able to deliver an impressive return on investment (ROI)—a key metric while deciding on asset allocation. “Litigation funding is a very high-return product. International experience shows that the annualised ROIs have been in excess of 50 per cent. In India, the ROIs will be in excess of 30-35 per cent for the time being. But it is still perceived as risk capital so we stay away from tapping retail individuals and raise funds from only HNIs,” says Jain. The growing potential of the space can be gauged from the fact that FIGHTRIGHT has launched a ₹100-crore fund from HNIs looking for alternative investment avenues. The fund, a special purpose vehicle, will invest in 15-20 commercial cases with an average ticket size of ₹5-7 crore for a tenure of two to three years. This fund will allow these HNIs to invest in litigations where the annualised ROI is expected to be upwards of 30 per cent.

Chhawchharia believes the dynamics from an investor's perspective are similar to any segment or model that attracts risk capital from the wealthy. “The model will be quite similar in my view as risk capital is always looking for attractive opportunities and returns. HNIs and family offices are likely to invest in funds that pool in investments with a similar thesis or objective rather than invest directly in this market,” he says.

What's more, the potential is such that many global players are also actively looking at India to